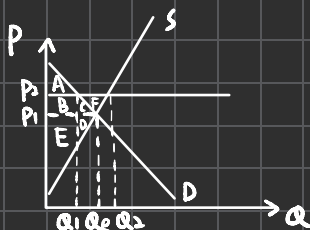


A policy to redistribute income is ~~minimum price~~. A minimum price is a price floor set above the equilibrium market price that can be used to address social concerns. Its effects can be shown in diagram 1.



The introduction of a ~~minimum price~~, as shown by P_2 , shifts the market equilibrium from (Q_e, P_1) to (Q_1, P_2) . This means that producers who are able to supply at Q_1 can benefit from a higher price. Consumer surplus decreases from $A+B+C$ to A when the price level is at p_2 while producer surplus will increase if the newly gained producer surplus B is larger than the producer surplus lost as shown by the area D , so there is a transfer of consumer surplus to producer surplus. This is the case when both the price elasticity of demand and price elasticity of supply are inelastic, which happens in agricultural markets. Thus, the income of farmers can be protected by the minimum price as it redistributes some income from the consumers to producers.

However, the imposition of a ~~maximum price~~ can cause surplus in the market. As the consumers are only willing to purchase a quantity of Q_1 and the producers supply at Q_2 , there would be a surplus of $Q_2 - Q_1$. In order to address this surplus, the government has to step in and purchase this extra quantity which requires money, adding to the government's burden.

An alternative policy is transfer payments. Transfer payments are payments made to individuals without exchange of goods and services and are directed towards vulnerable groups such as the elderly, unemployed or low-income earners. This means that there would be a direct increase in the disposable income of these people which improves their ability to purchase essential

goods like rice, increasing their standard of living. Also, transfer payments can be modified depending on inflation or regional needs, directing resources towards specific households rather than the entire market so as to reduce wastage and ensure that the funds serve their intended purpose. However, recipients may use the cash on non-essential items or resell vouchers for profit, leading to the failure to achieve the original objective of supporting food security among the poor.

To evaluate, whether minimum price or transfer payments is more effective depends on the target recipient. If the redistribution of income mainly aims to protect the income of vulnerable producers like farmers, then minimum price is more effective. If it aims to promote the living standard of the consumer side, then giving transfer payments is more targeted as they can use the money to consume more essential goods.

To conclude, the government can use minimum price and transfer payments to redistribute income. The actual effectiveness depends on the target recipient.

$$4 \times 1 + 2 = 3$$

$$4 \times 3 = 1$$

$$4$$